typically a time of reassessment and reevaluation and is a great opportunity for the advisor to strengthen and deepen the relationship to include behavioral finance.

- *When wealth transfer and legacy are being considered*. Many wealthy clients want to leave a legacy. Is there any more emotional an issue than this one? Having a frank discussion about what is possible and what is not possible is difficult and is often fraught with emotional crosscurrents that the advisor would be well advised to stand clear of. However, by including behavioral finance into the discussion and taking an objective, outside-councilor's viewpoint, the client may well be able to draw his or her own conclusion about what direction to take when leaving a legacy.
- *When a trust is being created*. Creating a trust is also a time of emotion that may bring psychological biases to the surface. Mental accounting comes to mind. If a client says to himself or herself, "Okay, I will have this pot of trust money over here to invest, and that pot of spending money over there to invest," the client may well miss the big picture of overall portfolio management. The practical application of behavioral finance can be of great assistance at these times.

Naturally, there are many more situations not listed here that can arise where this book will be helpful.

PLAN OF THE BOOK

This edition of the book has an updated structure. In the last edition, Part One of the book not only provided an introduction to the practical application of behavioral finance but also an introduction to incorporating investor behavior into the asset allocation process for private clients. In this edition, Part One includes a definition of behavioral finance, a review of its history, and a new chapter that introduces behavioral biases. Asset allocation topics are covered in Part Five, Case Studies. Parts Two, Three, and Four are a comprehensive review of some of the most commonly found biases, complete with a general description, technical description, practical application, research review, implications for investors, diagnostic, and advice. This time, biases are broken out into three categories: Belief Perseverance Biases, Information Processing Biases, Emotional Biases to correspond to Part's Two, Three, and Four. Part Five includes completely updated case studies as well as the previously referenced "Application of Behavioral Finance to Asset Allocation" section. Lastly, Part Six includes my latest research into defining four "Behavioral Investor Types."

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